

THE SESSION · POST-CLOSE READ

Rates Set *the Terms*

The 10-year Treasury yield rose to its highest level since 2007 after hot flash PMIs and a hawkish Fed governor, and the Nasdaq fell 1.10% from Tuesday's record as chipmakers gave back ground. Dividend Strategy -0.49% beat DVY and SPY; Growth Portfolio -1.18% trailed IUSG.

S&P 500 ▼ 0.72%

NASDAQ ▼ 1.10%

DOW ▼ 0.68%

VIX 15.2

BRENT ▲ \$103

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

-0.49%

1-DAY

FCI		-0.49%
DVY		-0.64%
SPY		-0.72%

YTD +17.88% vs DVY +12.63% · SPY +13.48%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-1.18%

1-DAY

FCI		-1.18%
IUSG		-0.91%

YTD +24.54% vs IUSG +15.81%

THE SESSION

Wednesday belonged to the bond market, and equities took their cue from it. The S&P 500 fell 0.72% to 7,709; the Dow lost 0.68%, or 352 points, to 51,512; and the Nasdaq gave up 1.10% to 26,944, a day after its second straight record close. The sequence was plain. S&P Global's flash composite PMI rose to 58.4 from 56.0, its strongest reading since July 2021, with services at 58.7 and manufacturing at its highest in more than four years; S&P Global also reported input costs rising at the steepest rate in four years, led by fuel and transport. Fed Governor Michael Barr then said further policy adjustments are likely needed to bring inflation back to target in a timely fashion. The 10-year Treasury yield rose about 14 basis points to roughly 5.11%, its highest since July 2007, and the 5-year crossed 5% for the first time since 2007 as a \$70 billion 5-year auction cleared at 5.033%. Oil fed the same concern: Brent rallied more than 3% back above \$100 and traded near \$103 late, with Libya's Sharara field curtailed by an armed group's pipeline closure and Tehran denying that it had dropped its conditions for reopening Hormuz. The dollar firmed,

gold eased about \$71 to \$4,283, and the VIX rose 7% to 15.2. The chip-led leadership the week had leaned on reversed, and small caps trailed the large indexes. President Xi's state visit begins Thursday.

The Dividend Strategy declined 0.49% against DVY's 0.64% loss — a 0.15-point lead — and finished 0.23 points ahead of SPY's 0.72% decline. Nine of twenty-five holdings advanced. The day was a rates test, and it was DVY's to fail: financials (26%) and utilities (22%) make up nearly half the benchmark. The sleeve's rate-sensitive names were not spared — NextEra -2.82%, NatWest -3.53%, Old Republic -1.33%, and Atmos -0.67% — and the semiconductor holdings eased with the chip group, Analog Devices -1.32%, Lam Research -1.18%, and Qualcomm -0.52%. ADP fell 2.21%, PACCAR 1.59%, and Colgate-Palmolive 1.32%. The offsets came from businesses that read strong activity as demand rather than as a discount-rate problem: Fastenal +1.82%, S&P Global +1.06%, SS&C +0.58%, Caterpillar +0.55%, and TE Connectivity +0.41%. Lockheed Martin rose 0.47% and General Dynamics held flat after Tuesday's defense selling.

Interest rates are the price of time, and today the market repriced it. The owner’s question does not change with the discount rate: what does the business earn, and what will it earn?

The Growth Portfolio declined 1.18% and trailed IUSG’s 0.91% loss by 0.27 points, with seven of twenty-five holdings higher. Three groups carried the gap. Consumer lenders fell as the 2-year yield reached its highest level since June 2024: Pagaya -9.87%, SoFi -3.55%, Synchrony -2.77%, and Robinhood -1.25%. The metals names eased with gold and a firmer dollar — Agnico Eagle -3.94% and Freeport-McMoRan -2.37%. The chip holdings gave back part of the week’s advance: AMD -1.47%, NVIDIA -1.40%, TSM -1.15%, and NXP -0.90%, with Credo +0.68% the exception. Hut 8 -3.89% and MARA -2.05%

moved with IBIT (-1.95%) and ETHA (-2.65%). Software and energy offset part of it: ServiceNow +2.79% and Fortinet +2.57% rose as enterprise software firmed against the tech tape, Keysight gained 1.83%, and Chevron +1.52%, CNX +0.64%, and ONEOK +0.56% followed crude higher. On the year, the Dividend Strategy stands at +17.88% against DVY’s +12.63%, a +5.25-point spread, with SPY at +13.48%; the Growth Portfolio stands at +24.54% against IUSG’s +15.81%, a +8.73-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

NOW +2.79% GROWTH
Enterprise software firmed while the broader tech group declined; the software ETF IGV was up about 1% in the morning.

FTNT +2.57% GROWTH
Extended its run and set a new 52-week high intraday at \$179.33 before closing at \$178.74.

DECLINERS

PGY -9.87% GROWTH
No company-specific release; consumer lenders fell as the 2-year yield rose to its highest since June 2024.

AEM -3.94% GROWTH
Gold eased about \$71 to \$4,283 as the dollar firmed and Treasury yields rose.

KEYS +1.83% GROWTH
Moved against the chip group and closed at its session high of \$353.66; no company-specific release.

FAST +1.82% DIVIDEND
The industrial distributor rose on a day the flash PMI showed manufacturing at its strongest in more than four years.

NWG -3.53% DIVIDEND
Banks declined for a second session; the US-listed shares also absorbed a stronger dollar against sterling.

NEE -2.82% DIVIDEND
Rate-sensitive utilities trailed as the 10-year yield rose to roughly 5.11%.

HOLDINGS NEWS

Pagaya — funding closed ahead of the decline. On Tuesday the company closed PAID 2026-REV1, its second revolving structure this year, at an initial \$460 million, with about \$850 million to be deployed over a 24-month revolving period. Wednesday’s 9.87% decline came

without a company-specific release: the stock moved with consumer lenders as short-term yields rose, which leaves the question where it has been — funding demand for its loans against the rate path its borrowers face.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+17.88%

vs DVY +12.63% / SPY +13.48%

Spread vs DVY +5.25 pts

GROWTH PORTFOLIO

+24.54%

vs IUSG +15.81%

Spread vs IUSG +8.73 pts